

Families and Children Manual	Section: Financial Eligibility
Policy Manual Number: 010.040	Chapter: Medically Needy Eligibility Determination Group

MEDICALLY NEEDED ELIGIBILITY DETERMINATION GROUP

Legal Authority: 42 CFR 435.301; 42 CFR 435.601; 42 CFR 435.602; 42 CFR 435.603; 45 CFR 233.20

1. Policy Statement

The Eligibility Determination Group (EDG) for Medically Needy categories is based on the methods of the former AFDC program. The EDG determines the income and resource standards used for an applicant's financial eligibility determination. Household income and resource inclusion for the EDG is governed by the principle of Financially Responsible Relatives (FRRs). Financial responsibility is limited to spouse to spouse and parent to child.

2. Definitions

Parents: Parents only include biological and adoptive parents.

Siblings: Siblings include biological, adopted, half or stepsiblings.

3. Child Medically Needy Eligibility Determination Group

For unmarried applicants, the EDG for Child Medically Needy includes the following individuals living in the home:

- a. The applicant;
- b. The applicant's children under 21;
- c. The applicant's unborn child(ren);
- d. The applicant's parents; and
- e. The applicant's siblings under 21 (including unborn children).

Parents of an emancipated minor are not included in the EDG.

For married applicants, the EDG for Child Medically Needy includes the following individuals living in the home:

- a. The applicant;
- b. The applicant's children under 21;
- c. The applicant's unborn child(ren); and
- d. The applicant's spouse (if under 21 and applying for medical assistance).

If the in-home spouse is not included in the EDG, the spouse's income and resources may be deemed to the applicant.

4. Qualified Pregnant Woman Medically Needy Eligibility Determination Group

The EDG for Qualified Pregnant Woman Medically Needy includes the following individuals living in the home:

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- a. The applicant;
- b. The applicant's unborn child(ren);
- c. The applicant's children under 21; and
- d. The applicant's spouse (if under 21 and applying for medical assistance).

If the in-home spouse is not included in the EDG, the spouse's income and resources may be deemed to the applicant.

5. Financially Responsible Relative (FRR) Principle

The income and resources of a parent or spouse, FRR, living in the applicant's household are considered available to the applicant. Income and resources of relatives other than a parent or spouse are not considered available to the applicant. Income and resources are not considered available when an FRR receives Families First, Supplemental Security Income (SSI) or needs-based Veterans Affairs (VA) Benefits.

a. Income and Resources of a Parent

The income and resources of the parents of a child under age 21 are considered available to the child in determining her financial eligibility when:

- i. The child and parent(s) live together;
- ii. The child is unmarried; and
- iii. During the child's temporary absence from the home.

Note: The child's admission to a psychiatric facility is considered a temporary absence. Psychiatric care is not considered institutionalization for purposes of determining the under age 21 individual's separation from her FRR.

b. Joint Custody/Parenting Time

For the purpose of determining Medicaid eligibility, the custodial parent, often referred to as the primary residential parent in Tennessee, is established based on physical custody specified in a court order, binding separation, divorce, or parenting plan. If there is no court order or parenting plan, custody of a child born out of wedlock is with the mother. If there is a parenting plan, the primary residential parent is the parent with whom the child spends most nights.

i. Equally-Shared Joint Custody/Parenting Time

When an individual claims that equally-shared (50/50) joint physical and legal custody exists or provides a parenting plan that evenly divides the child(ren)'s living arrangement and parenting responsibilities, the parenting time situation must be carefully examined. Though a court order or parenting plan may evenly divide the care and control of the child(ren), the parents may not, in fact, be following the parenting plan.

In cases of alleged equal parenting time (50/50):

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1. Both parents exercise parental guidance.

Parental guidance may include issues such as which parent takes the children to and from school and/or daycare, which parent does the school and/or daycare consider the responsible relative, who exercises responsibility for consenting to major medical treatment for the child, etc.

2. Parents equally share physical custody.

If one parent has the child(ren) a majority of the time, this is not considered equally shared parenting time. Child(ren) must spend an equal amount of time living with each parent. The living arrangement may be based on days, weeks or months, but it must be equal (182.5 days per year with each parent) and parental functions of guidance and physical care cannot be substantially interrupted. (If equal time means 6 months at a time are spent with each parent, this will be considered extended visits.)

If it is determined that equal (50/50) parenting time exists, staff should contact the Member Services Eligibility Policy Unit for additional guidance on processing the case.

c. Income and Resources of a Spouse

Accept the individual's attestation regarding his marital status if he is married, unmarried, or separated from his spouse, unless there is reason to doubt the self-attested information. The income and resources of the applicant's spouse are considered available, whether or not they are actually contributed:

- i. While the couple live together, including temporary absences; and
- ii. During the first month of separation by one member's admission to a medical institution, unless the couple had been living apart for at least 6 months prior to their separation.

Income and resources of the applicant's spouse may be deemed to the applicant when the spouse is living in the household.

d. Spousal Income Deeming

Income deeming is the process of considering another person's income to be available for meeting an individual's basic needs of food and shelter. The income of a spouse who is not part of the EDG and is living in the home of an applicant may be deemed to the applying spouse. The following rules apply to the income deeming budget process:

- i. If the deemed income amount is equal to or less than the MNIS for one, the deemed income is not included in the applicant's budget.
- ii. If the deemed income amount is greater than the MNIS for one, the deemed income is included in the applicant's budget.

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- iii. If the spouse's income is deemed available, the income standard will be the MNIS for the EDG + 1.

e. Spouse Deeming Budget

Ms. Apple is a 20 year old woman applying for medical assistance. She has one child, age 3, from a previous marriage. She also has one child, age 1, with her current husband who is 24. Her husband earns \$2,000 a month and has \$1,600 in unearned monthly income. He is not applying for medical assistance. All 4 family members live together.

The Total Deemed Income is greater than \$241, the MNIS for 1. Since the deemed income exceeds the MNIS for 1, the MNIS for 4 will be used for Ms. Apple's budget as her EDG includes her, the couple's common child, her own child, and an additional plus one. Also, the total deemed income will be counted in the budget.

Deemed Income Budget Calculation		
Net Countable Self-Employment Income		\$ 0.00
Net Countable Earned Income	+	\$ 2,000.00
Combined Earned/Self-Employment Income	=	\$ 2,000.00
Irregular Earned Income Disregard (\$30)	-	\$ 0.00
Standard Work Expense Deduction (\$90)	-	\$ 90.00
Dependent Care Deduction (Up to \$200 depending on age)	+	\$ 0.00
Remaining Countable Earned/Self-Employment Amount	=	\$ 1910.00
Net Countable Unearned Income	+	\$ 1600.00
Irregular Unearned Income Disregard (\$60)	-	\$ 0.00
Child Support Disregard	-	\$ 0.00
Total Countable Earned and Unearned Income	=	\$ 3510.00
Child Support/Mandatory Expense	-	\$ 0.00
Total Deemed Income	=	\$ 3510.00
MNIS for 1		\$ 241.00

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03.18.2019	5.	Financially Responsible Relative (FRR) Principle	2-4	Policy Clarification	NF
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